

# **Abuse of Economic Dependence (Superior Bargaining Position) in Competition Law: Concerns, Benefits, and Safeguards**

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# Scope and terminology

[AED/ASBP \(2026\) pp 4–5](#)

- *AED/ASBP means,*
  - ***Abuse*** control tool
  - centred on ***dependence*** (not dominance),
  - applicable ***across sectors***,
  - enforced through the ***competition law's ex post public enforcement*** framework,  
regardless of names, such as
    - *economic dependence* (eg Belgium , France )
    - *superior bargaining position* (eg Japan , Korea )
    - *relative market power* (eg Austria , Switzerland , Germany )

What is happening now?

Why does the AED/ASBP matter?

# European Union

- Recent debate over the AED rule in Europe during the Reg 1/2003 modernisation process
    - Criticism and arguments against the divergence rule
    - Stakeholder's response: 'stricter national rules on unilateral conduct, including the AED rules, increase fragmentation (a patchwork of national rules) and legal uncertainty within the internal market'
- See [AED/ASBP \(2026\) p 14 \(fn 67\)](#).
- For now, the EC shows no sign of 'scrapping' the current legal room for 'experiments' ([lnkd.in/gdteCg6q](https://lnkd.in/gdteCg6q))



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## EU countries defend power to hit abusive companies that don't dominate market

By Jean Comte

December 31, 2025, 09:39 GMT | Comment

National regulators are pushing the European Commission to avoid scrapping a provision that allows them to sanction companies that are abusive to smaller rivals, but not big enough to be classified as the dominant player in their market. Competition authorities — in particular in France, Germany and Austria — say the capability is a must-have, even though it hasn't been used much in recent years.

# EU (France)

- French *Apple* (distribution) Case (2020, 2022, 2026)
  - Autorité's Decision 20-D-04 of 16 March 2020:  
(1) market divisions, (2) ~~RPM~~, and (3) **AED**
    - \* AED against APRs: supply refusal or delay,  
discrimination, ~~unpredictable discount-rebate policies~~
  - As for the AED,  
the Supreme Court (13 May 2026) largely upheld  
the Paris Appeal Court (6 October 2022)'s decision
- \* For details of the French *Apple* case,  
see [AED/ASBP \(2026\) p 21 \(fn 107\), p 30 \(fn 149\), p 33](#).  
(Cour de cassation's findings on AED: [lnkd.in/gURJtvq8](https://lnkd.in/gURJtvq8))



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## French Apple ruling highlights debate over abuse of economic dependency rule

By Jean Comte

May 20, 2026, 14:45 GMT | Comment

A decision by France's top court against Apple has highlighted a rarely used antitrust rule on the abuse of economic dependence that some European regulators have asked the European Commission not to scrap. The court upheld a decision that Apple had abused resellers that depended on it for stock, bringing to an end the iPhone maker's six-year legal battle against a French competition watchdog decision.

# COMESA

- COMESA's adoption of the AED rule



## **Chapter Three: Anti-Competitive Business Practices**

Regulation 33: Anti-Competitive Business Agreements

Regulation 34: Prohibited Practices *Per se*

Regulation 35: Determination of a Dominant Position

Regulation 36: Abuse of a Dominant Position

Regulation 37: Abuse of Economic Dependence

Regulation 38: Prohibited Practices by Gatekeepers

Regulation 39: Application for Authorisation

Regulation 40: Leniency

### **Regulation 37 Abuse of Economic Dependence**

- (1) Economic dependence is deemed to exist where one person to a transaction is in a position of superior bargaining position in relation to another in such a way that sufficient and reasonable possibilities for switching to third parties do not exist and there is a significant imbalance between the power of such undertakings or group of undertakings and the countervailing power of other undertakings.
- (2) Any abuse of economic dependence within the Common Market, or in a substantial part of it, shall be prohibited.
- (3) Determination of abuse of economic dependence does not require a dominant position in any market.
- (4) The determination of economic dependence may be based on:
  - (a) the market share of the undertaking in the Common Market;
  - (b) the relative strength of the undertaking;
  - (c) the existence or lack thereof of alternative solutions;
  - (d) the factors that led to the situation of dependence; or
  - (e) any other relevant factors as the circumstances dictate.

# China



- China's partial adoption of the ASBP (focused on the payment delay issue)

## 反不正当竞争法 第十五条

大型企业等经营者不得

滥用自身资金、技术、交易渠道、行业影响力等方面的  
优势地位,

要求中小企业接受

明显不合理的付款期限、方式、条件和违约责任等  
交易条件,

拖欠中小企业的 货物、工程、服务等账款。

## Article 15, Anti-Unfair Competition Act 2025

Large enterprises and other business operators shall not

abuse their superior (advantageous) position in terms of their own funds, technology, transaction channels, industry influence, and other aspects

require small and medium-sized enterprises to accept

obviously unreasonable transaction terms, such as payment periods, methods, conditions, and liability for breach of contract, and/or

delay or default on payments owed to small and medium-sized enterprises for goods, works, services, and the like

Source: [https://www.spp.gov.cn/spp/fl/202506/t20250627\\_699862.shtml](https://www.spp.gov.cn/spp/fl/202506/t20250627_699862.shtml)



# Brazil

- CADE's decision to investigate Google AI Overviews
    - On 23 April, following [Interim President's Opinion](#), CADE determined to open abuse proceedings against Google over its use of news content eg in AI Overviews without proper compensation to publishers (under Article 36 of Law No. 12,529/2011)
    - The concerns revolve around the **structural dependence** and **exploitative nature** of the conduct abusing it:
      - "From this perspective, Mr Thomson developed the hypothesis that the conduct may be a case of abuse of dominant position. He proposed a specific analytical framework to assess conducts of this nature in digital markets, emphasising elements such as the structural dependence, imposition of commercial conditions, extraction of value, and competitive harm."
- (Press release: [lnkd.in/gzUhS8hY](https://lnkd.in/gzUhS8hY))



Administrative Council for Economic Defence – CADE  
Office of Commissioner Diogo Thomson de Andrade

Case No. 08700.003498/2019-03

platform into an indispensable business partner even without a traditional exclusivity contract<sup>94</sup>.

514. Along the same lines, Lee (2026), in examining the concepts of abuse of economic dependence and abuse of superior bargaining position, argues that these categories fulfil a complementary function to traditional dominance control precisely because they bring a vertical dimension of market power to the centre of the analysis. The point here is not merely a company's ability to raise prices or exclude rivals in the traditional sense, but also its capacity to condition the behaviour of economic partners who depend on it to reach users, generate revenue, gain visibility or secure distribution<sup>95</sup>.

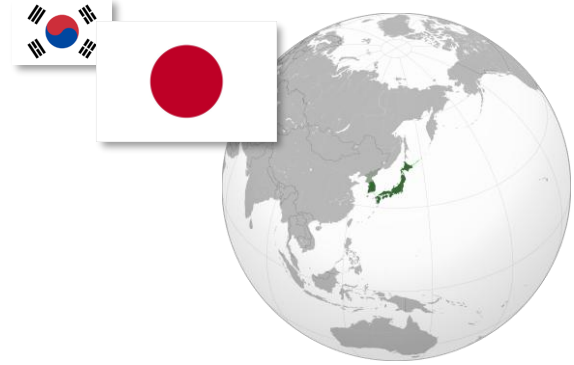
515. In digital markets, this superior bargaining position can manifest itself in the unilateral imposition of commercial conditions on actors who, although formally independent, lack a functionally equivalent means of accessing demand.

516. Thus, exploitation in these cases tends to appear less in the form of excessive monetary pricing and more in the platform's management of terms of content use, attribution, ranking, attention retention and traffic return. It is precisely for this reason that the lens of economic dependence, as developed by Lee (2026), helps to understand why certain conduct may take on an exploitative character even outside the narrower paradigm of 'excessive pricing'.

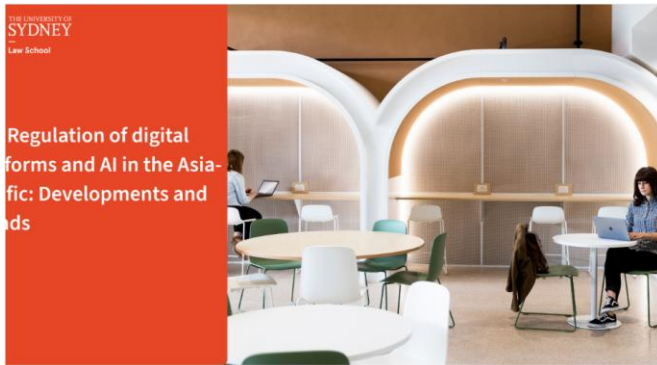
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# Japan



- JFTC's fact-finding survey into AI search services



## Digital and AI Competition in Japan and Korea: Where Things Stand?



**Sangyun Lee** ✓  
Visiting Researcher, Osaka Metropolitan University | Ph.D., Korea University | Competition Law Researcher

April 20, 2026

For Monday's seminar at the [University of Sydney](#), titled "[The regulation of digital platforms and AI in the Asia-Pacific: Developments and Trends](#)", at the kind invitation of Professor [Yane Svetiev](#), I am now trying to put together some

In addition, the JFTC's December 2025 follow-up study on news content distribution (following its initial [2023 report](#)) is also worth watching closely. In launching the follow-up study, the JFTC [noted](#) concerns that some generative AI search services, including so-called "AI Overviews," generate responses by using news content "without the permission of news media operators." [Reportedly](#), [US companies such as Google, Microsoft, Perplexity, and OpenAI, as well as Japan's LY Corp., will be subject to the study.](#)

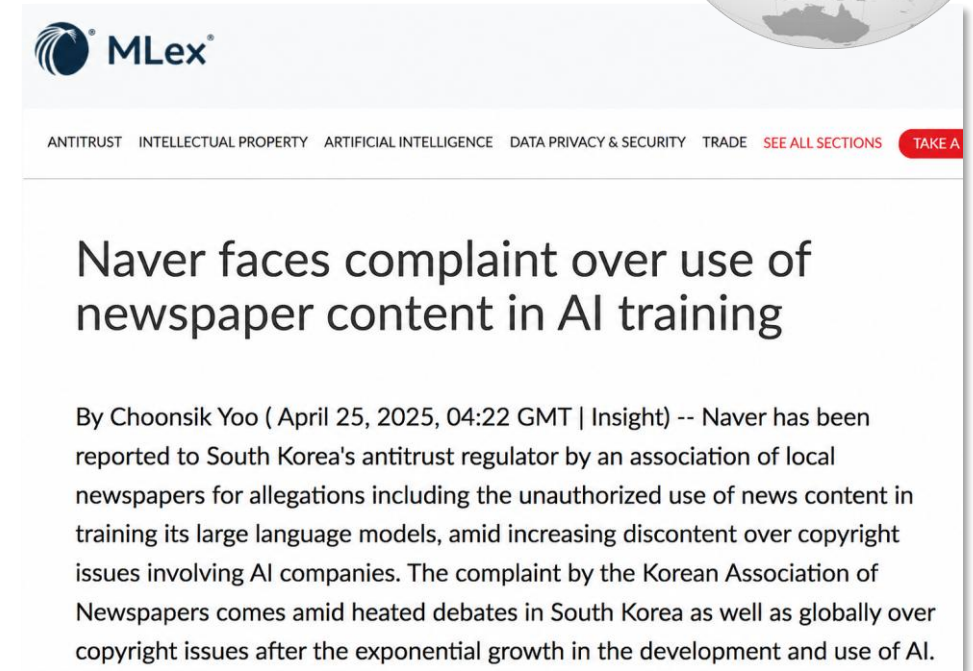
From a comparative perspective, this development is noteworthy given that, for instance, the European Commission has already opened a formal [competition investigation into Google's](#) use of online content for AI purposes. From the perspective of Japanese competition law, moreover, this study may also become an important testing ground for whether the AMA, including the prohibition of [abuse of superior bargaining position](#), can prove to be effective in addressing dependency and exploitation concerns in AI-driven markets.

Link to this article: [lnkd.in/ePbRGhpq](https://lnkd.in/ePbRGhpq)

# Korea

- Korean Newspaper Association's antitrust complaint against a local search platform
  - On 24 April 2025, the Newspaper Association filed a complaint with the KFTC against a leading search platform, alleging the 'unauthorised' use of news content to train its AI models.
  - The complaint frames the conduct as both **abuse of dominance** and **superior bargaining position**.
  - As of October 2025, Korean media reported that the matter was under KFTC review.

[https://repokr.github.io/doc/KAN\\_Press\\_20250424.pdf](https://repokr.github.io/doc/KAN_Press_20250424.pdf)



# AED/ASBP is no longer peripheral

- The AED/ASBP rule is no longer a peripheral issue; rather, it now sits at the centre of modern competition law, alongside other traditional tools.
- Thus, AED/ASBP demands further attention and discussion.

# How is the AED/ASBP legislated?

\* Results of a 34-jurisdiction survey based on the 2020 GCR Rating Enforcement's rank

# Legislative landscape (1)

[AED/ASBP \(2026\) pp 5–12](#)

**Table 1.** Abuse of dependence provisions across jurisdictions.

| Approach                                     | Jurisdiction | Legal Provision                                                                                                                                                                                                   | Reference Year                                               |
|----------------------------------------------|--------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|
| Integrated provisions within competition law | Austria      | <b>Cartel Act 2005, section 4a</b> (titled ‘Relative market power’) <b>and section 5</b> (prohibiting abuse of a dominant market position)                                                                        | 2021 (relocated to a standalone provision)                   |
|                                              | Belgium      | <b>Code of Economic Law, Article I.6, 17°</b> (defining ‘Position of economic dependence’) <b>and Article IV.2/1</b> (prohibiting ‘abuse of a position of economic dependence’)                                   | 2019 (adopted; in force 2020)                                |
|                                              | ✓ France     | <b>Commercial Code, Article L. 420-2, para 2</b> (prohibiting “abusive exploitation ... of the state of economic dependence”)                                                                                     | 1986 (introduced; codified as L. 420-2 in 2000)              |
|                                              | ✓ Germany    | <b>Act against Restraints of Competition (GWB), section 20(1), (1a), and (2)</b> (prohibiting conduct of undertakings with relative market power)                                                                 | 2021 (substantially extended; originally introduced in 1973) |
|                                              | Portugal     | <b>Competition Act (Law No 19/2012), Article 12</b> (titled ‘Abuse of economic dependence’)                                                                                                                       | 2003 (current form; originally introduced in 1993)           |
|                                              | Switzerland  | <b>Cartel Act, Article 4(2bis)</b> (defining ‘an undertaking with relative market power’) <b>and Article 7</b> (titled “Unlawful practices by dominant undertakings and undertakings with relative market power”) | 2021 (adopted; in force 2022)                                |

(continued)

# Legislative landscape (2)

[AED/ASBP \(2026\) pp 5–12](#)

Table 1. (continued)

| Approach                                             | Jurisdiction | Legal Provision                                                                                                                                                                                                                                                                                 | Reference Year                                          |
|------------------------------------------------------|--------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------|
| External provisions enforced through competition law | Australia    | <b>Australian Consumer Law (ACL), section 21</b> (titled ‘Unconscionable conduct in connection with goods or services’) <b>and section 22(1)(a)</b> (listing ‘the relative strengths of the bargaining positions of the supplier and the customer’ as a consideration)                          | 2011 (recodified; originally inserted in 1986)          |
|                                                      | Italy        | <b>Subcontracting Act (Law No 192/1998), Article 9</b> (titled ‘Abuse of economic dependence’) <b>and Article 9(3-bis)</b> (nexus to public competition law enforcement)                                                                                                                        | 2022 (strengthened; originally inserted in 1998)        |
|                                                      | Japan        | <b>Anti-Monopoly Act (AMA), Article 2(9)(v)</b> (stipulating ‘... unjust use of one’s bargaining position’ as an unfair trade practice) <b>and Article 19</b> (prohibiting unfair trade practices)                                                                                              | 2009 (codified; originally introduced in 1953)          |
|                                                      | Korea        | <b>Monopoly Regulation and Fair Trade Act (MRFTA), Article 45(1)(6)</b> (prohibiting ‘Making transactions ... by unfairly taking advantage of the bargaining position ...’ as an unfair trade practice)                                                                                         | 1980 (introduced; in force 1981)                        |
|                                                      | New Zealand  | <b>Fair Trading Act 1986 (FTA), section 7</b> (titled ‘Unconscionable conduct’) <b>and section 8(1)(a)</b> (listing ‘the relative bargaining power of the person engaging in the conduct’ as a factor)                                                                                          | 2021 (inserted; in force 2022)                          |
|                                                      | Romania      | <b>Unfair Competition Law (Law No 11/1991), Article 1<sup>1</sup> d</b> (defining ‘superior negotiating position’), <b>Article 2(3)</b> (prohibiting its exploitation as an unfair competition practice), <b>and Article 3<sup>1</sup>(1)–(2)</b> (nexus to public competition law enforcement) | 2022 (introduced)                                       |
|                                                      | Spain        | <b>Unfair Competition Act 3/1991, Article 16(2)</b> (stipulating ‘the exploitation of the situation of economic dependence’ as unfair) <b>and Competition Act 15/2007, Article 3</b> (nexus to public competition law enforcement)                                                              | 2007 (current framework; originally introduced in 1991) |



# Concerns (Why Not?)

Benefits (Why Yes?)

Safeguards (How Then?)

# Concerns

[AED/ASBP \(2026\) pp 12–17](#)

- Encroachment into contractual relations
  -  ABA (2016): 'such a law can lead to **inappropriate government intervention** in routine business decisions and agreements and increase the **risk of chilling pro-competitive conduct**'
- Operational efficiency
  - instrumentalisation of competition rules, increase in **administrative burdens**; and unjust wealth transfer, increasing taxpayers' costs
    - \*  Greece's experience: competition law (public) → unfair competition law (private) in 2009
- Potential **overlaps** with other tools, including sectoral regulation
  - eg contract and tort law doctrines on unfair terms, regulations in franchising and automobile dealerships ...

Concerns (Why Not?)

# **Benefits (Why Yes?)**

Safeguards (How Then?)

# Benefits (1)

- Dominance framework's **gap** in addressing abuse, eg in retail chains and platform relations

It is first notable that incorporating the concept of dependence into the existing framework may strengthen competition law's control of abusive conduct, which, as currently framed, may not fully capture relative and relational (as opposed to objective and absolute) market power.

This lacuna has been noted in a range of policy documents, including outside the competition law literature. **Renda and others' 2014 study**<sup>79</sup> observes that EU competition law has had difficulty in addressing unfair trading practices (including abuse of dependence)<sup>80</sup> in retail chains, partly because the market share of large retailers is generally below the 'dominance' threshold under Article 102 TFEU.<sup>81</sup> Similarly, the Commission **Staff Working Document accompanying the P2B Regulation proposal** notes that the abuse of dominance framework has limited capacity to address the significant influence that non-dominant platforms may exert over dependent business users in competitive bottlenecks.<sup>82</sup>

Also noteworthy is the **US House Antitrust Subcommittee's 2020 recommendation** that Congress should consider prohibiting abuse of a superior bargaining position. This recommendation is based on the finding that in the USA, dominant platforms' bargaining leverage over dependent third parties, and their exploitative practices, fall outside the reach of anti-trust law because courts interpret it as focusing on the formation or entrenchment of market power, not on its exploitation or exercise.<sup>83</sup>

# Benefits (2)

AED/ASBP (2026) pp 18–20

- Filling the gap by adding a **power-over** dimension to the current **power-to**-centred framework

|                   |                                                                                                                                                                                                                                                                                                                                                                                            |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Power-to</b>   | <ul style="list-style-type: none"><li>• the <b>capacity</b> to achieve outcomes as intended</li><li>• an <b>objective, dispositional</b> capacity existing <b>exogenously</b>, prior to specific relations</li><li>• e.g., power <b>to control prices</b> or <b>exclude</b> competition (i.e., substantial market power)</li></ul>                                                         |
| <b>Power-over</b> | <ul style="list-style-type: none"><li>• the <b>influence</b> or control over other actors and their actions</li><li>• a <b>subjective, relative</b>, and <b>endogenous</b> dimension embedded in enduring relations</li><li>• e.g., 'A <b>exercises</b> power over <i>B</i><br/>when A <b>affects</b> <i>B</i> in a manner <b>contrary to <i>B</i>'s interests</b>' (Lukes 2015)</li></ul> |



# Legal question to consider...

[AED/ASBP \(2026\) pp 20–21 \(fn 105\)](#)

- Q. Should a *pre-existing contractual relationship* be required to establish ‘dependence’?  
(since the ‘dependence’ entails a ‘relational’ understanding?) A. “It depends” (eg *Tunstall*)

<sup>105</sup> While abuse of dependence is conceptually a relationship-based notion and is therefore discussed in a contractual context, this does not mean that, in practice, the legal assessment necessarily requires the existence of a long-lasting, formal contractual relationship to establish a dependence-centred position. For example, in *Tunstall*, the Supreme Court of Belgium (Hof van Cassatie van België; Cour de Cassation de Belgique) ruled that **no pre-existing formal contractual relationship is required to establish a position of ‘economic dependence’**. At the risk of oversimplification, the dispute concerned an IP holder (Tunstall) refusing to license its patented technology to a competitor (Victrix), allegedly impeding the latter’s market access. **Tunstall, which managed the hardware, the software, and the underlying IP linking them, reacted negatively when one of its customers (Télé-Secours) sought to move to an alternative software provider (Victrix).** In response, **Tunstall denied the licence and initiated infringement proceedings.** Télé-Secours (the customer) and Victrix (the competitor) alleged that this amounted to an abuse of economic dependence. On the question **whether Victrix—despite having no contractual relationship with Tunstall—could still be regarded as economically dependent on it,** the **Supreme Court clarified that economic dependence does not necessarily require formal contractual ties.** Cour de cassation’s judgment of 20 February 2025, *VICTRIX SOCSAN S.L. v. TUNSTALL GROUP H*, C.23.0375.F-C.24.0002.F, BE:CASS:2025:ARR.20250220.1F.4. From a comparative



# Benefits (3)

[AED/ASBP \(2026\) pp 23–27](#)

- Filling the gap by flexibilising abuse and competitive harm assessment
  - *Dominance* → Horizontal-competition-centred approach; fit for horizontal abuse (exclusion)
  - *Dependence* → Approach centring on vertical aspects; fit for vertical abuses (direct exploitation)  
eg KR and JP's numerous cases of (exploitative) abuse of superior bargaining position  
→ Approach holding a more circular, systemic, and dynamic view;  
**'exclusion through exploitation'** can be more effectively captured

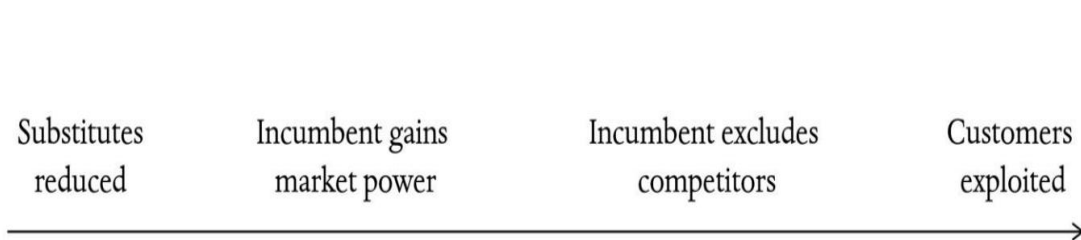


Figure 1. Linear understanding of competitive harm.

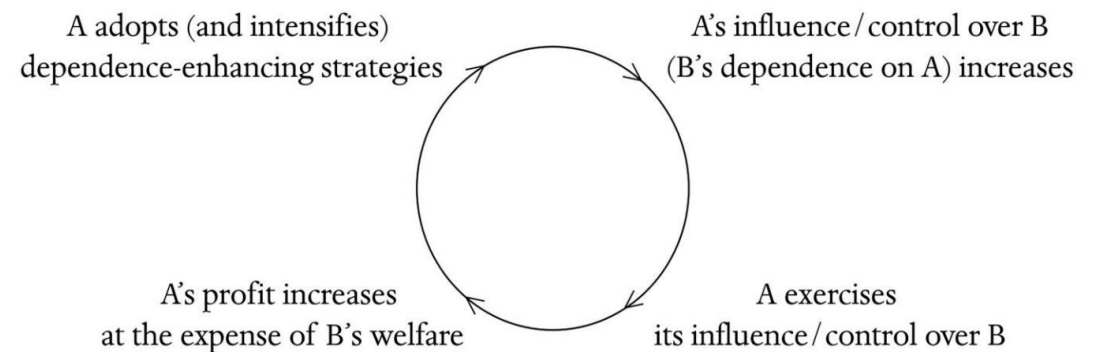


Figure 2. Complementary circular understanding of competitive harm.  
Note: A refers to an incumbent, and B to its trading partner(s).

# A preliminary analysis of possible legal framings



Microsoft's Azure-favouring licensing practices: How can they be approached/framed?

## Within the *Dominance/exclusion* framework

Relevant markets (horizontal competitive relations)

- Cloud services; enterprise software services; distinct products/services ...

Market dominant position

- Any rivals; limited substitutability; entry barriers ...

Exclusionary conduct

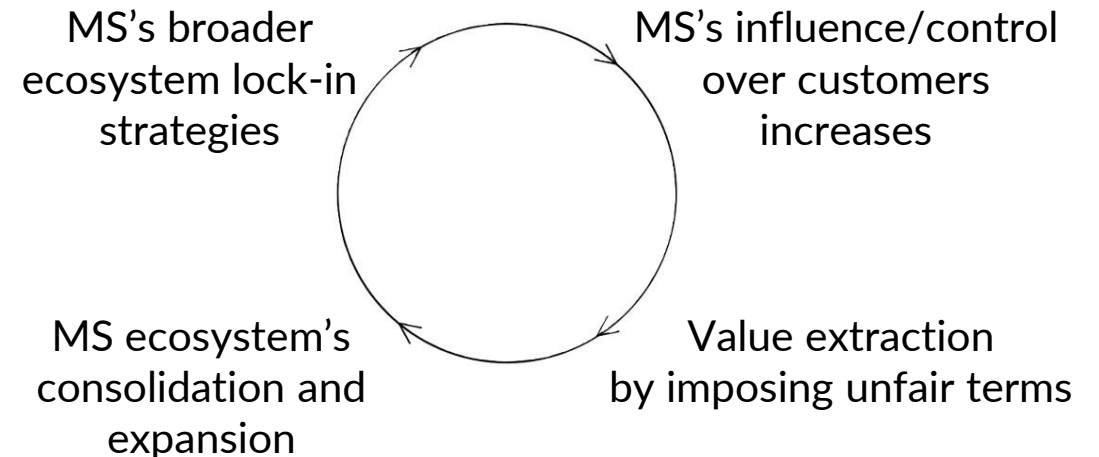
- Tying/bundling; discriminatory licensing; raising rivals' costs; or leveraging the existing dominance

Foreclosure and customer/consumer harm

## Within the *Dependence* framework

Lock-in strategy (and/or unfair terms) examples:

- Licensing/API/interoperability terms narrow outside options
- Workloads, data, workflows move further into MS ecosystem
- Switching costs rise; rivals' access to customers shrinks
- MS's influence over customers increases



Concerns (Why Not?)

Benefits (Why Yes?)

**Safeguards (How Then?)**

# Safeguards

[AED/ASBP \(2026\) pp 29–36](#)

How to harness the benefits of AED/ASBP while mitigating the concerns about it?

- ‘**Structural power**’ indicators, for example:
  - a certain level of **market share** (eg  Apple held a 20-30% share in the French *Apple* case); **competitive bottleneck** (eg  Meta’s Audio Library was not regarded as an ‘intermediary’ in Italy’s *Meta-SIAE* case); significant **differences in business scale**; economic structures (eg JP and KR’s dual structure of the economy) ...
- ‘**Structural impact**’ considerations, for example:
  - Impacts on competition (eg the conduct’s impacts on **intra-brand competition** and inter-brand competition were considered in *Apple*)
  - Impacts on fairness (eg  KR – a **large number** of affected parties, the conduct’s **continuity** and **repetitiveness**;  JP – conduct’s **gravity**, **prevalence**, and the consequence of **giving a competitive advantage** to the infringer)
- Constructive redundancy
  - Were the AED/ASBP focused on **structural power/impact**, its overlaps with other regulatory tools would be **beneficial** for the whole system’s reliability.

# Legal questions for discussion...

- Countervailing bargaining power defence?
  - What if the structural-power holder argues that it lacks power vis-à-vis some counterparties?
    - Japan's *Edion* case, where a **retailer**'s superior position over **35** out of 127 suppliers was overturned.
    - Korea's *Coupang* case, where a **retailer**'s superior position over **8** large suppliers is disputed.
- Relationships between position, conduct, and effect?
  - Should causation (incl. counterfactual) between conduct and effect be required?
    - In France's *Apple* case, it appears that it was **not** required or seriously considered.
  - Should the 'exploitation' of power be established as an independent element of the infringement?  
(a question about the 'hard bargaining' defence)
    - In Germany's *Edeka* case, the BGH ruled that 'exploitation' need **not** be proved as a separate element.

# Key argument

‘Abuse of dominance’ has certain gaps;

**The gaps may be filled by complementary tools; and**

**One such tool is AED/ASBP, with safeguards against its overreach.**

Future research directions:

- How could/should the ‘dependence’ concept be reflected in **merger control**? or vertical agreements?
- How could/should the exploitation of copyrighted content by **AI providers** be assessed?